Employee Health Insurance, Benefits & Global Travel Expense Reporting Guidelines

Effective Date: January 1, 2026 • Owners: Global Benefits Administration & Corporate Controller • Applicability: All Regular Employees

Section 1. Comprehensive Health Insurance Plans and Enrollment

Regular full-time and benefits-eligible part-time employees (scheduled for 20 or more hours per week) are eligible to enroll in corporate medical, dental, vision, and mental health coverage effective on their first day of active employment. New hires must complete their initial benefit elections in the Benefits Portal (`w3.ibm.internal/benefits-enroll`) within **31 calendar days** of their hire date. After the initial enrollment window closes, plan modifications are permitted only during the Annual Open Enrollment period (held every November 1 through November 20) or within **31 calendar days** of a Verified Qualifying Life Event (such as marriage, birth or adoption of a child, or loss of spousal coverage).

1.1 Medical Plan Options: PPO Premier Plan vs. HDHP Saver Plan

Employees may choose between two flagship medical coverage structures depending on their household healthcare utilization preferences:

- **Option A — BluePremier PPO Plan (Low-Deductible Preferred Provider Organization):**
  Monthly Employee Premium Contribution: **$85 per month** for Employee-Only coverage; **$190 per month** for Employee + Spouse/Partner; **$265 per month** for Full Family coverage.
  Annual In-Network Deductible: **$400 per individual** / **$800 per family**.
  Annual Out-of-Pocket Maximum: **$2,500 per individual** / **$5,000 per family**.
  Co-Payments & Co-Insurance: Preventive care visits and annual physicals are covered at **100% ($0 co-pay)**. Primary care physician office visits require a **$20 co-pay**; specialist consultations require a **$35 co-pay**; urgent care visits require a **$40 co-pay**; emergency room visits require a **$150 co-pay** (waived if admitted). In-network inpatient hospital stays and surgeries are covered at **90%** after the annual deductible is met.
- **Option B — BlueHealth Saver HDHP with Health Savings Account (HSA):**
  Monthly Employee Premium Contribution: **$25 per month** for Employee-Only coverage; **$75 per month** for Employee + Spouse/Partner; **$115 per month** for Full Family coverage.
  Annual In-Network Deductible: **$1,650 per individual** / **$3,300 per family**.
  Annual Out-of-Pocket Maximum: **$3,500 per individual** / **$7,000 per family**.
  Employer HSA Seed Contribution: The company contributes directly into the employee's Health Savings Account for Employee-Only coverage and for Family coverage, deposited in two equal installments on January 15 and July 15. After the deductible is met, all in-network medical services and prescriptions are covered at until the out-of-pocket maximum is reached.

- **$750 per year$1,500 per year85%**

1.2 Prescription Drug Coverage Tiers

Both medical plans include integrated retail (30-day supply) and mail-order (90-day supply for the price of 2 retail co-pays) pharmacy benefits:

1. **Tier 1 (Generic Medications):** $10 retail co-pay / $20 mail-order co-pay.
2. **Tier 2 (Preferred Brand Medications):** $30 retail co-pay / $60 mail-order co-pay.
3. **Tier 3 (Non-Preferred Brand Medications):** $60 retail co-pay / $120 mail-order co-pay.
4. **Tier 4 (Specialty Biologics):** 10% co-insurance capped at a maximum of $100 per 30-day prescription fill.

1.3 Dental, Vision, Mental Health, and Wellness Allowances

- **Comprehensive Dental Plan:** $0 monthly employee premium for Employee-Only ($18/month for Family). Annual deductible is **$50 per person** (waived for preventive cleanings and X-rays, which are covered at 100% twice per year). Basic restorative work (fillings, extractions) is covered at **80%**; major restorative procedures (crowns, bridges, implants) are covered at **60%** up to an annual maximum benefit of **$2,500 per person**. Orthodontia for both adults and dependent children is covered at **50%** up to a **$2,500 lifetime maximum** per person.
- **Vision Care Plan:** Covers one comprehensive eye exam every 12 months with a **$10 co-pay**. Provides an annual hardware allowance of **$250 per calendar year** toward prescription eyeglass frames, lenses, or contact lenses, plus a **$1,500 lifetime reimbursement** toward LASIK or PRK laser vision correction surgery.
- **Employee Assistance & Mental Health Benefit:** Every employee and their eligible household dependents receive **12 free confidential therapy or counseling sessions** per calendar year through the ModernHealth / Lyra portal (`w3.ibm.internal/mental-health`) at zero out-of-pocket cost, before medical insurance co-pays apply.
- **Annual Wellness & Fitness Stipend:** Employees may claim up to **$600 per calendar year** in taxable wellness reimbursement for gym memberships, fitness studio classes, athletic footwear, ergonomic standing mat accessories, or mindfulness app subscriptions.

Section 2. Home-Office Equipment and Connectivity Stipends

To ensure hybrid and remote employees operate safely and productively, the company provides standardized allowances for ergonomic home-office furnishings and peripherals:

- **Three-Year Ergonomic Home-Office Stipend:** Every regular employee is eligible for up to **$750 every 36 months (3 years)** to purchase approved home-office equipment. Individual sub-caps within this $750 allowance include up to **$400** for an ergonomic task chair, up to **$350** for a height-adjustable standing desk or desk converter, and up to **$200** for external keyboards, mice, webcams, or monitor arms. Corporate 27-inch external displays are ordered directly at zero cost to the employee's stipend through the IT Hardware Catalog (`w3.ibm.internal/it-catalog`) with first-line manager approval.
- **Monthly Mobile & Broadband Allowance:** Employees designated in roles requiring on-call rotation or remote client support receive a **$65 per month** communication stipend paid via payroll or expensed monthly through Concur under Expense Code `COMM-65`.

Section 3. Corporate Travel Booking and Air/Hotel Limits

> **Key Expense & Travel Caps at a Glance:** All flights and hotels must be booked via SAP Concur (`w3.ibm.internal/concur`) at least **14 calendar days** before domestic travel and **21 calendar days** before international travel. Itemized receipts are mandatory for any single expense of **$25.00 USD or more** (or for all lodging expenses regardless of amount). Daily meal per diem is capped at **$90/day** in Tier 1 High-Cost Metro cities and **$70/day** in Tier 2 Standard cities. Expense reports must be submitted within **30 calendar days** of trip completion.

3.1 Mandatory Booking Channel and Advance Purchase Windows

All business airfare, rail tickets, hotel accommodations, and rental vehicles must be booked exclusively through the corporate SAP Concur Travel portal (`w3.ibm.internal/concur`) or by calling the dedicated Corporate Travel Agency desk at `+1-800-555-0192`. Booking through third-party consumer travel websites (such as Expedia, Airbnb, or Booking.com) is prohibited and will not be reimbursed unless Concur displays zero availability at the destination.

- **Airfare Cabin Class Rules:** All domestic flights and international flights with a scheduled total flight time (including connections) of **less than 6 hours** must be booked in standard **Economy Class** (lowest logical fare within a 2-hour window). For intercontinental or long-haul flights with a scheduled flight time of **6 consecutive hours or more**, employees may book **Premium Economy Class** with First-Line Manager approval. **Business Class** airfare is restricted to flights exceeding **8 consecutive hours** and requires pre-booking sign-off in Concur from a **Department Vice President (Band D or higher)**.
- **Hotel Nightly Rate Caps (Excluding Taxes):** Employees must select Preferred Corporate Partner hotels in Concur within the following nightly room rate ceilings:
  1. **Tier 1 Global Metro Hubs (New York City, San Francisco, London, Tokyo, Zurich, Paris, Singapore, Boston):** Maximum **$325 USD per night** before taxes.
  2. **Tier 2 Major Metropolitan Cities (Austin, Chicago, Seattle, Toronto, Berlin, Madrid, Dublin, Sydney):** Maximum **$240 USD per night** before taxes.
  3. Maximum before taxes.

- **Tier 3 All Other Domestic & Regional Locations (Including Bucharest, Brno, Krakow, Raleigh, Atlanta):$175 USD per night**

Section 4. Meal Per Diems, Client Entertainment, and Ground Transport

4.1 Daily Individual Travel Meal Limits

Employees traveling overnight on approved company business are reimbursed for actual, reasonable meal expenses up to the following daily ceilings (including tax and a maximum 18%–20% gratuity):

- **Tier 1 High-Cost Metro Cities:** Maximum **$90 USD per day** (recommended breakdown: $20 Breakfast, $25 Lunch, $45 Dinner).
- **Tier 2 & Tier 3 Standard Locations:** Maximum **$70 USD per day** (recommended breakdown: $15 Breakfast, $20 Lunch, $35 Dinner).
- **Alcohol Policy on Individual Meals:** Alcohol purchased during individual travel meals is non-reimbursable and must be itemized and marked as "Personal / Non-Reimbursable" in Concur.

4.2 Client Entertainment and Team Meals

Hosting external clients or prospects for business meals requires adherence to the Global Anti-Bribery and Government Ethics Policy. Any meal involving a public-sector or government official is strictly prohibited without prior written clearance from Legal Compliance (`ethics-compliance@ibm.internal`). For commercial client meals, the maximum spend is **$110 USD per attendee** (including the names, titles, and company affiliations of every attendee recorded in Concur). The most senior company employee present at a group or team meal must pay the bill on their Corporate American Express card and submit the expense report; subordinates may never approve a manager's expense report.

4.3 Ground Transportation and Personal Vehicle Mileage

Employees should prioritize public transit, airport rail links, or rideshare services (Uber/Lyft Business Profile) over rental cars. When driving a personal vehicle for approved business travel (excluding normal daily commuting between home and the primary office), reimbursement is calculated at the standard corporate mileage rate of **$0.67 USD per mile** (or **€0.42 EUR per kilometer** in European locations), which covers fuel, insurance, and wear-and-tear.

Section 5. Receipt Thresholds, Submission Deadlines, and Audit SLA

1. **Itemized Receipt Requirement ($25 Threshold):** An original, itemized merchant receipt showing the vendor name, date, individual line items purchased, and total paid is required for **every single expenditure of $25.00 USD or more**, as well as for **all hotel folios and airline tickets** regardless of dollar amount. Credit card summary slips showing only a total without line-item details are rejected by Expense Audit.

2. **30-Day Submission Deadline:** Expense reports must be submitted in SAP Concur within **30 calendar days** of the conclusion of the trip or the date the expense was incurred. Expense reports submitted between 31 and 60 days after the transaction require Second-Line Manager exception approval. Expenses submitted more than **60 calendar days** after the transaction date are treated as taxable income to the employee or denied reimbursement under corporate accounting rules.
3. **Approval & Reimbursement SLA:** First-line managers must review and approve submitted Concur reports within **5 business days**. Once approved by both the manager and automated Concur Audit, direct reimbursement to the employee's bank account or direct payment to the Corporate American Express card completes within **5 to 7 business days**.